

Financial Year	Cost Inflation Index	Financial Year	Cost Inflation Index
1981-1982	100	2000-2001	406
1982-1983	109	2001-2002	426
1983-1984	116	2002-2003	447
1984-1985	125	2003-2004	463
1985-1986	133	2004-2005	480
1986-1987	140	2005-2006	497
1987-1988	150	2006-2007	519
1988-1989	161	2007-2008	551
1989-1990	172	2008-2009	582
1990-1991	182	2009-2010	632
1991-1992	199	2010-2011	711
1992-1993	223	2011-2012	785
1993-1994	244	2012-2013	852
1994-1995	259	2013-2014	939
1995-1996	281	2014-2015	1024
1996-1997	305		
1997-1998	331		
1998-1999	351		
1999-2000	389		

Fig 2.4 : *CII figures starting from 1980*

So, if you have got an "absolute return" of 50% on a 5 year investment from 1981 to 1986, you know that 40% of it ($140 - 100 / 100$) has been eaten away by inflation and only 10% ($50\% - 40\%$) is the "actual appreciation" of your investment or your money.

We will understand more about CII with a real time example, in the upcoming section of capital gains.

In the meanwhile, remember that as long as you are able to keep your money ahead of inflation (after paying all your taxes), I would say that you are doing a good job. Looks easy, but it is not that easy to continue to keep your money ahead of the sticky inflation. And you definitely cannot continue to beat inflation by keeping your money in FDs or bank savings accounts. You must make sound "investment" decisions to be able to march ahead. By now, you know that if you are unable to beat inflation, you are losing money every year. Worse, you will not even know that you are actually losing your money, and therefore take it very lightly. This is of course an undesirable situation in your journey towards Financial Freedom.